On February 15, in what is being hailed as a landmark verdict, the Supreme Court of India struck down the electoral bonds scheme as unconstitutional. Refusing to buy the government's arguments on transparency, the five-judge constitution bench comprising Chief Justice of India D.Y. Chandrachud and Justices Sanjiv Khanna, B.R. Gavai, J.B. Pardiwala and Manoj Misra, in a unanimous 232-page verdict, held that unlimited contribution by companies to political parties was antithetical to the idea of free and fair elections because it allowed certain persons/ companies to wield their clout and resources to influence policy-making. This was violative of the principle of political equality captured in the value of "one person, one vote". The ability of a company to influence the election process through political contribution was much higher than that of an individual, the judges ruled. The court also ordered the names of the donors to be made public by the Election Commission of India (ECI) by March 13.

The apex court's judgment has once again thrown open the debate on the need for a clean political funding mechanism in India. Unaccounted-for money flowing into the coffers of political parties, more often than not for quid pro quo, has been at the root of corruption and electoral malpractices in the country. It is a moot question whether the abolition of the scheme, two months ahead of the general election, will lift the shroud of opacity that surrounds political finance in India. There is also no solution in sight, till at least the next government takes oath. "Given the kind of discretionary powers that the government and elected officials enjoy over the economic and business sectors," says Niranjan Sahoo, senior research fellow at the Observer Research Foundation in Delhi, "they will continue to collect unaccounted-for money the way they want it. In the absence of a broader structural reform of politics and the electoral system, it is going to be business as usual for political parties and candidates."

WHY CASH IS KING

General elections in India—touted as the biggest festival of democracy—have become highly expensive exercises, given the confluence, and influence, of money. Election expenditure during Lok Sabha polls has gone up sixfold in 20 years—from Rs 9,000 crore in 1998 to Rs 55,000 crore in 2019—according to a 2019 report by the Delhi-based Centre for Media Studies (CMS). Compared to this staggering figure—more than 90 per cent of that year's budgetary allocation for MGNREGA—publicly known corporate donations to political parties constitute a minuscule share of the funds political parties receive.

And though electoral bonds were largely blamed for fast-tracking corporate money into Indian politics, given that they facilitated anonymous and unlimited flow of funds, the nexus between business and politics is by no means a recent phenomenon. Even before the electoral bond scheme was notified in 2018, corporate contributions formed a staggering 89 per cent of the total funds parties received through known sources of donations between 2012 and 2016. Between 2013, when electoral trusts were set up solely for the purpose of donating to political formations, and 2016, two years before the electoral bond scheme was notified, donations from these trusts accounted for a third of all funding that parties disclosed. After electoral bonds were issued, this became a less preferred route. In

WHAT WERE ELECTORAL BONDS?

- **Akin to promissory notes, electoral bonds, first issued on January 2, 2018, functioned as bearer instruments payable to the holder on demand. The scheme enabled a wide range of donors—from individuals, groups, NGOs and trusts to corporations—to contribute to political parties while staying anonymous**
- **Available in denominations of Rs 1,000, Rs 10,000, Rs 1 lakh, Rs 10 lakh and Rs 1 crore, these bonds could be bought from authorised branches of the State Bank of India (SBI) using a KYC-compliant account, without any limit on maximum contribution the donor could make**
- **Donations through electoral bonds were eligible for tax exemptions**
- **Political parties needed to declare the amount received but not donors' details in their annual financial submissions to the Election Commission of India (ECI)**

